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The trap most investors hit at the **third property** .

Property Notes — Issue 13. Read this week's edition.

HOOK

PROPERTY NOTES · ISSUE #13

Issue #13: The Sequence Problem

The federal budget didn’t just shift the tax math. It changed which order you buy in.

Here’s a trap that’s easy to miss until you’re already in it.

Three properties, all reasonable assets, all bought in the same market cycle. And you’re done. Not because you ran out of ambition. Because the annual cash drain from the wrong sequence quietly consumed your borrowing capacity. The portfolio stops growing not with a crisis, but with a quiet conversation at the bank where the answer is: not at this time.

Under the old rules, this trap was rarer. The tax system subsidised the carry on negatively geared assets. The annual offset against salary softened the cashflow hit. You could sequence purchases in almost any order and the cost of a poor choice would take years to fully show up.

That window has closed.

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THREE-PHASE FRAMEWORK

compounding has run, and the more of the eventual gain sits in the grandfathered portion.

If you already own a property from before the announcement, that asset is doing something no future purchase can replicate. It is carrying a tax treatment that no longer exists for new purchases. The sequencing rule for Phase 1 is therefore straightforward: do not sell it. Whatever pressure comes from rates, cashflow, or short-term costs, the grandfathered position is permanent. Surrendering it to release capital is a decision you cannot reverse.

Key insight: The asset bought before May 2026 is the anchor of any serious accumulation strategy. Future properties will be built around it, not in place of it.

Phase 2: The Middle Run

This is where the sequence problem lives. Purchases two and three in your portfolio are now made under fundamentally different conditions, and the cashflow profile of each one directly determines whether you can make the next.

Under the old rules, you could acquire another low-yield, high-growth residential asset and absorb the carry as a manageable annual cost. The deduction against salary reduced the effective hit. A shortfall of $18,000 became a real cost of around $11,000 after the offset. You had tax-system support for the decision.

From 1 July 2027, that support is gone on new established purchases. The shortfall is the shortfall. No annual offset against salary. The full

CASE STUDY — SAM

was wrong.

The signs that the gate is close: - Annual out-of-pocket carry has climbed past 15 to 18 percent of gross income - Debt-to-income ratio is above 7 to 8 times - Deposit accumulation has slowed because carry is absorbing the surplus - Serviceability conversations are starting to include the word “maximum”

Under the new rules, the gate arrives sooner for investors who did not optimise Phase 2. Two poorly sequenced purchases, and the gate can appear a decade earlier than planned.

Key insight: The capacity gate is not about running out of equity. It is about running out of serviceability. The sequence in Phase 2 determines how early it appears.

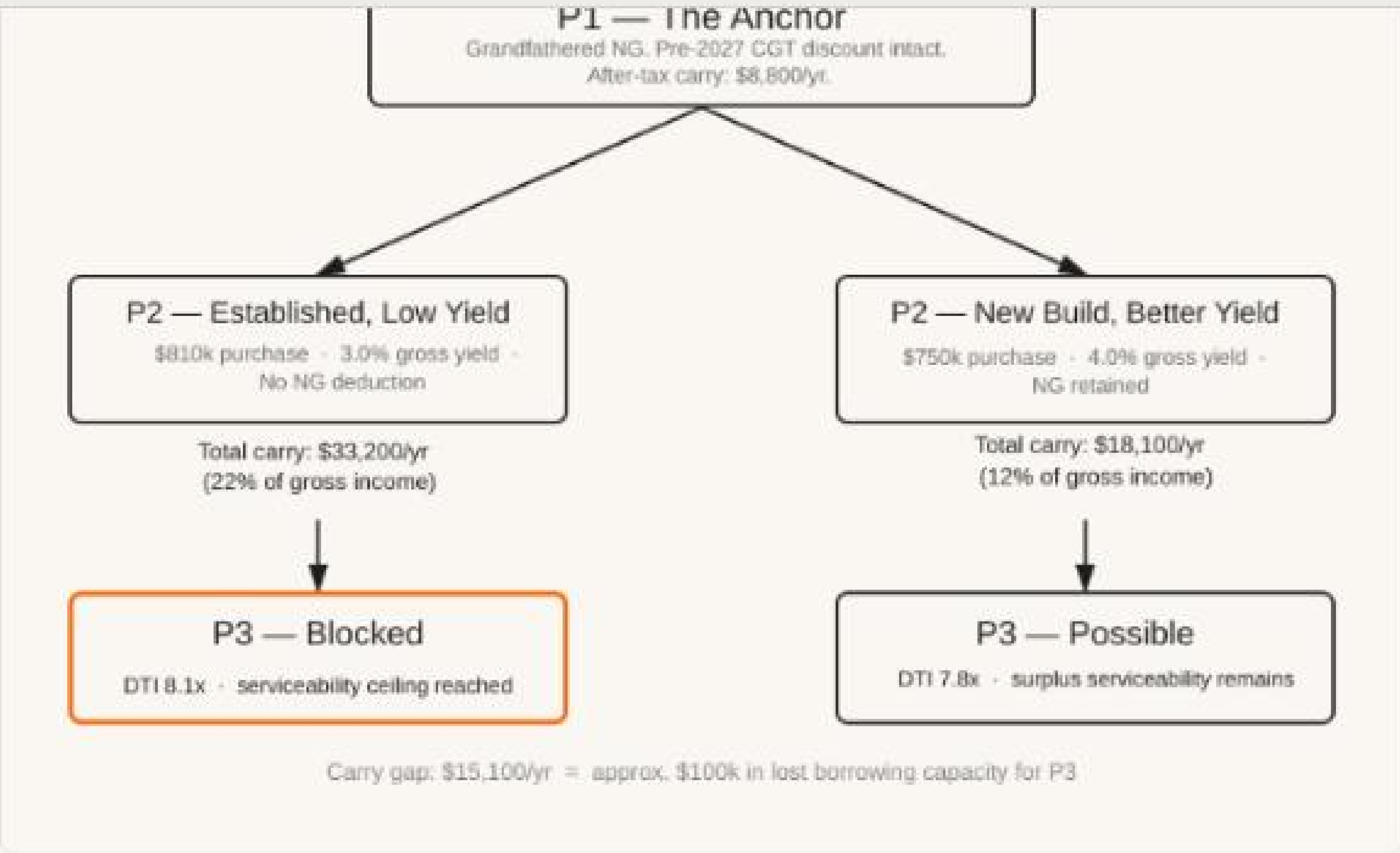
Sam’s Two Paths

Sam is 41. He owns one investment property: a three-bedroom house in a western corridor suburb, bought 18 months ago for $710,000, now worth approximately $760,000. The property is grandfathered on negative gearing. His effective after-tax carry is around $8,800 per year on a $150,000 gross income.

He is ready to buy again. He is considering two options.

Scenario A is an established property at $810,000. 80 percent LVR. Gross yield 3.0 percent. Purchased after 12 May 2026, which means no annual negative gearing deduction against salary from 1 July 2027 onwards.

REFLECTION



Reflection

The budget commentary has mostly focused on the raw disposal math: how much more or less an investor pays when they sell. That is worth understanding and Issues #11 and #12 covered it in detail.

What receives less attention is how the rule changes reshape the intermediate decisions — the ones made not at disposal, but during the years of building a portfolio. Sequence has always mattered. Under the old rules, the tax system had enough give in it to absorb a poor sequence decision and let you recover. Under the new rules, there is less give. A wrong call at P2 does not just hurt P2. It caps the portfolio.

PROPERTY NOTES

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The math of portfolio sequence has changed.

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